

FUNDING[®]

A Level-Funding Solution for Small Groups

ADVANTAGE

*Unique health plan solutions
for your business*

Health Benefits Proposal Presented To
4HG Source LLC

Presented By
JONES, NATHANIEL E WEXFORD INSURANCE LLC

Proposed Effective Date
6/1/2026

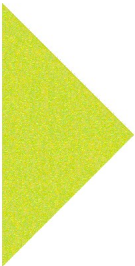
HSA Freedom Traditional Plan

Plan Administered By



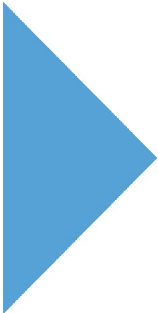
For more info visit us at: www.alliednational.com

*The rates shown in this proposal are preliminary rates based on information presented.
Rates are NOT final until approved in writing by Allied Underwriting.*



What is the Allied Funding Advantage plan?

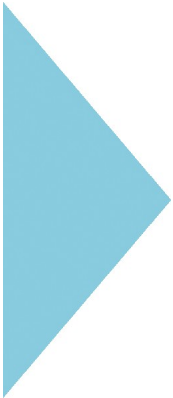
Funding Advantage is a unique answer for employers trying to save money on the cost of group health insurance. A level-funding Plan allows you to save money by paying for the cost of small claims while allowing you to manage the risk if those claims grow larger.



Who is the plan for?

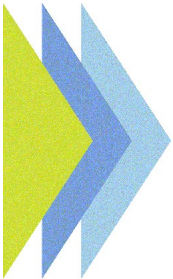
The Funding Advantage plan is for employers with 2 or more employees who feel they pay too much premium for too little in benefits. Do you want to receive money back from your insurer for being healthy?

If the answer is YES, then the Funding Advantage plan could be the right alternative for you.



What are the advantages of the Funding Advantage plan?

- You don't buy insurance for benefits you don't use. Your unused claim fund is yours at the end of the plan year.
- Stop Loss insurance fully protects you from larger claims. The monthly payments cover your costs for the plan.
- Tele and video health access; online access to account details and claims. Allied HealthCare Assistant to help you deal with chronic or serious health issues.



Can I receive money back with this plan?

With Funding Advantage level funding, you have the potential to receive money back at the end of a plan year. Each month your monthly payment helps to create your claim fund. The unused money in your claim fund is yours after claims are paid for the plan year. There are no back end charges or fees once the plan year is over.

Large claim risk managed by stop-loss insurance with run-out coverage, subject to policy exclusions, solvency of insurance carrier, policy effective dates, mid-year Plan termination and other policy terms and conditions.

Refund subject to claims experience, run-out claims, mid-year Plan termination and the terms and conditions of the administrative agreement.



HSA Freedom Traditional Plan



Maximum Cost Summary

Your costs are made up of 3 charges:



Amounts vary by group size and benefits.

STOP LOSS COVERAGE: This is insurance protection for larger claims for individuals (total claims for any specific individual above **\$10,000**) or for total aggregate claims exceeding the annual maximum claim fund. Stop Loss coverage provides you with complete protection from unexpected claims during the plan year and the run out period, under a 12/21 contract.

ADMINISTRATION & SALES: Covers the administrative & sales expenses of your coverage including claims processing, billing, underwriting services, customer service, PPO fees (if applicable), monthly claims reporting and compensation for the broker/benefit consultant for their role in establishing and servicing the plan. There are no other fees to employer during the plan year or run out period.

CLAIM FUND: This is your money used to pay smaller dollar claims. The claim fund total shown below is the MAXIMUM amount of claims payable by you for the plan year based on this census and benefits. You will never have to pay more in claims than this maximum amount. Any unused money is refunded to you after all claims have been paid for the plan year. Choose from different funding options (depending on your group size) to meet your monthly cash flow needs.

Your Maximum Costs

This is the total maximum cost you could pay for your Funding Advantage Plan. It is based on the census and benefits shown in this proposal. You will never pay more than this amount regardless of the total claims paid for your plan or the funding option you choose for your Claim Fund. The Claim Fund is your money and any unused money is still yours after claims are paid for the plan year. If this plan is issued in conjunction with other self funded benefit plans for this employer, then the claim fund from all plans will be used to set the aggregate stop loss attachment point.

	Monthly	Annual
Maximum Claim Fund:	\$321	\$3,852
Stop Loss Coverage:	\$2,926	\$35,112
Admin & Sales Costs:	\$1,165	\$13,980
Maximum Total Costs:	\$4,412	\$52,944



HSA Freedom Traditional Plan BENEFIT PLAN DESCRIPTION

HSA Freedom Traditional Plan

Office Visit Copay: None. Subject to deductible and coinsurance.

Deductible: \$4000

Coinsurance: 100%

Total Out-of-Pocket*: \$4,000

Copays, Deductible & Coinsurance all apply to the Total Out-of-Pocket. For dependent coverage: HSA Deductible is an EMBEDDED deductible. Family deductible is two times individual deductible. Family Out-of-Pocket max is two times individual limit.

Deductible Credit: Credit is given for deductible amounts satisfied under prior creditable coverage during the 90 days prior to effective date or the current calendar year, whichever is greater.

Prescription Drug Card Benefit: INCLUDED: HSA Deductible Integrated RX Formulary Plan. See benefit description for full benefit details.
(adm.code:Z)

\$500 Supplemental Accident Benefit: Not Included

HealthChoices Program Discount: Not Included

Occupational Coverage for Owners: Included

Pregnancy as any other illness: Included

Medicare Primary?: Yes

SIC: 5085 - Wholesale Trade/Durable Goods/Industrial Supplies

HSA FREEDOM TRADITIONAL PLAN Information

This plan uses fair and reasonable multiples above Medicare allowable charges as its basis for reimbursement of physicians and facilities. In some cases, providers may not accept this amount as payment in full for services rendered. There is no contractual discount arrangement with providers. The member is free to see any provider of their choice. Members will be responsible for normal copays, deductible and out-of-pocket expenses. The plan will protect members from a balance bill from a provider for any amount in excess of the allowable reimbursement.



HSA Freedom Traditional Plan



Level Funding Plan

Name	Sex	Age	Coverage	Employee Rate	Spouse Rate	Children Rate	Total Rate
Ankney, Robert	M	33	F	\$350	\$662	\$464	\$1,476
Ankney, Terence	M	60	S	\$1,344	\$1,272	\$0	\$2,616
Sizemore, Devin	M	31	I	\$320	\$0	\$0	\$320
Monthly Bill Total							\$4,412

Monthly Cost Summary

Maximum Claim Exposure: \$321



Amounts vary by group size and benefits.

Required Claim Fund Contribution:	\$321
Stop Loss Insurance:	\$2,926
Administration & Sales:	\$1,165
Total Monthly Billed Amount:	\$4,412

About Level Funding

Level funding provides you the most stable way to fund your self funded benefit plan. Your maximum costs, as shown above, are billed to you monthly. You will never be asked to contribute more to the plan, regardless of claims. If claims exceed the claim fund at any time, the Aggregate Stop Loss insurance then pays additional claims through an accommodation loan or an aggregate claim at the end of the plan year.

Full Pay level funding advantages:

- Stable, level monthly payments
- No claims calls when claims exceed the maximum
- Unused claim fund money is yours for refund or use in the next plan year
- Aggregate Accommodation and Stop Loss protection at the maximum claim exposure
- Terminal Liability Included



HEALTH PLAN OVERVIEW

HSA Freedom Traditional Plan	
BENEFIT	Choose Any Provider - No Required Network or Penalties
Calendar Year Deductible	\$4000 per Individual. For dependent coverage: HSA Deductible is an EMBEDDED deductible. Family in-network deductible is two times individual deductible.
Coinsurance	100% Paid by Plan
Calendar Year Total Out Of Pocket Maximum <i>(copays, deductibles and coinsurance count towards Calendar Year Total Out Of Pocket Maximum)</i>	\$4000 per Individual <i>(Family Limit is 2 times the Individual Limit)</i>
Doctor's Office Visit Copay <i>(see next page for more info on office visit benefit)</i>	No Copay Benefit. Office visits subject to deductible and coinsurance.
Urgent Care Copay <i>(benefits payable same as for Doctor's office visit)</i>	Benefits subject to deductible and coinsurance.
Non Surgical Out Patient Expenses	After Deductible Plan pays 100%
Surgical Procedure Expenses	After Deductible Plan pays 100%
Inpatient Admissions	After Deductible Plan pays 100%
Emergency Room Services	After Deductible Plan pays 100%
Preventive Services	Plan Pays 100% of Covered Charges
Lifetime Maximum Benefit	Unlimited
HSA Calendar Year Maximum Out-of-Pocket	2023: \$7500/indiv - \$15,000/family 2024: \$8050/indiv - \$16,100/family

PRESCRIPTION DRUG FORMULARY PLAN

You're covered under a deductible integrated Prescription Drug Plan. Benefits for Rx Drugs are subject to the plan deductible. Once your deductible is satisfied you are covered under the following plan.

TIER	DESCRIPTION	Benefit
0	Over the Counter	\$3 Copay
1	Generic	\$10 Copay
2	Brand Name	\$30 Copay
3	Non-Formulary	\$50 Copay
4	Specialty & High Cost Pharmacy*	Must use High Cost Drug Program

- **Mail Order Benefit:** All plans include mail order discounts - 90 day supply for 2x normal copay.
- All Copays & Coins cease once a member has reached their total out-of-pocket amount.

**Specialty Pharmacy must use High Cost Drug program (HSA plans must still meet deductible), with member cost sharing of 10% up to \$200 maximum per fill. Specialty pharmacy includes, but is not limited to, select drugs for treating enzyme deficiency, hemophilia and multiple sclerosis, as well as select types of drugs like blood modifiers (e.g. Epogen & Procrit), growth hormones, IGIV and Interferons.*

Maximum Benefits by Expense

Nervous, Emotional or Mental Disorders or Disease Care including Alcoholism and Chemical Dependency Care <i>(if the Plan Sponsor employed an average of 51 employees during preceding calendar year, this benefit covered same as an any other sickness)</i>	Up to 31 Inpatient Treatment Days per Calendar Year
	Up to 26 Outpatient Visits per Calendar Year
Rehabilitative care (physical therapy, speech therapy, occupational therapy) following an accident or injury	Unlimited
Habilitative Care (physical therapy, speech therapy, occupational therapy) for congenital development problems, developmental delay and autism	40 Visits per Calendar Year
Hospice Care	One Benefit period limited to six continuous months.
Home Health Care	40 visits per Calendar Year limited to one visit per day.
Orthopedic Manipulation including massage therapy and acupuncture	20 visits per Calendar Year limited to one visit per day.

This is a limited, summary description of your plan benefits. For a complete listing of all benefits, including limitations and exclusions of the plan, please refer to the Summary Plan Description that is issued to all plan participants.

Plan Reimbursement Information

This plan uses fair and reasonable multiples above Medicare allowable charges as its basis for reimbursement of physicians and facilities. In some cases, providers may not accept this amount as payment in full for services rendered. There is no contractual discount arrangement with providers. The member is free to see any provider of their choice. Members will be responsible for normal deductible and out-of-pocket expenses. The plan will protect members from a balance bill from a provider for any amount in excess of the allowable reimbursement.



ENROLLMENT AND UNDERWRITING REQUIREMENTS

The following are required for enrollment and underwriting for the Funding Advantage plan:

Employers:

- Please complete, sign and date the employer information statement.
- Have each of your employees complete, sign and date an employee enrollment form. All new hires on or before the effective date must also complete enrollment even if still in their waiting period. Check to see that all questions on the enrollment forms are answered completely and accurately.
- Any eligible employee or dependent not enrolling for coverage MUST complete a waiver form. An employee waiving coverage because they are covered under another employer's major medical plan will not be counted against the group's participation requirements.
- Include a preprinted company check made out to Allied National for the first month's costs as shown on the rate proposal.
- For groups less than 25 enrolled employees, include a complete copy of the firm's most recent State Quarterly Unemployment Tax report containing employee names, Social Security Numbers and earnings. This provides Allied Underwriting with information necessary to verify employee participation and eligibility.
- For currently insured groups, include your most current billing statement that includes your renewal rates from your current carrier.
- Please give all of the above pieces to your agent so he or she can send the forms to Allied to begin processing.

Agents:

- Allied's guideline for a timely Funding Advantage new case submission is a minimum of ten days before the requested effective date. To be considered a complete submission the employer information statement, current plan information (benefits, current & renewal rates), employee enrollment cards/waivers and participation documentation (on groups with less than 25 participants) is required. Submissions without these components are considered prescreen quote requests and not treated as a new case submission.
- You must be appointed with the plan's stop loss carrier. If not, please contact Allied Sales Support at 888-767-7133 for information.
- In addition, submit a copy of the benefit and rate proposal used for the group.
- Please submit all pieces from the employer to one of the addresses below. When submitting forms by fax or email, it is extremely important that forms be legible and that forms that are filled out by hand be completed in ink.

Note: All papers must be filled out and signed in ink, dated and received by Allied before the requested first of the month effective date. Priority processing will be given to companies who submit legible, fully completed forms.

Please send all information to your local General Agent or:

ALLIED NATIONAL
UNDERWRITING DEPARTMENT
P.O.BOX 29187
SHAWNEE MISSION, KS 66201-9187
Fax: 913-945-4397 Email: uas@alliednational.com

QUESTIONS? Please call Allied Sales Support at 888-767-7133



Funding Advantage - Important Proposal Information

The costs shown above are based on the SIC Code: 5085.

The rates for this proposal are based on available medical application info.

This proposal is not a solicitation to purchase stop loss coverage but an illustration of costs under this self-funded program. Selection of the appropriate carrier is made according to group size and state at the time of underwriting. At that time Allied will prepare for the client an application with the appropriate insurance company with final rates and terms of coverage. Specimen stop loss policies are available upon request.

Proposal and rates are preliminary pending completion of underwriting. Final rates are issued ONLY after submission of the group for underwriting and final underwriting approval is given.

Rates will be surcharged at time of underwriting: 1) for dual or multi plan offerings; or 2) for groups with higher than average dependent child content.

By signing the contract, the contractholder acknowledges that this plan is self-funded.

If the group terminates mid-contract, all stop-loss coverage will cease and any claims not yet paid as of the date of termination, regardless of incurred date, will not be covered under the stop loss contract.

Any claimant who is disclosed as terminated as of the effective date is excluded from coverage and will be subject to medical underwriting if they rejoin the plan.

The information contained in this proposal is limited. More information may be obtained by reviewing the Funding Advantage plan brochure and the Guide to Self Funding available at www.alliednational.com.

This proposal does not include costs for Affordable Care Act taxes, fees or assessments that may be required of the employer. This includes, but is not limited to the Patient Centered Outcomes Research Institute (PCORI). Allied will provide each employer with appropriate instructions on filing and payment of these fees.

Direct Primary Care plans are available only for members that are actively under the care of a DPC physician or practice. Rates are determined by scope of services provided by the DPC physician for each member.